

Incorrect or missing SSIs can lead to settlement failures, financial losses, operational inefficiencies, and reputational damage for market participants.

Financial and Operational Consequences

Wrong SSIs are a **major cause of settlement failures**, second only to lack of inventory. When settlement instructions are incorrect, trades may fail to settle on time, requiring **manual intervention** to correct the errors, which increases operational costs and delays the settlement process. Settlement failures can trigger **buy-in or sell-out notices**, where the counterparty seeks to complete the trade at potentially higher costs,

leading to **direct financial losses**  [LinkedIn](#). Additionally, delayed receipt of securities

or funds can result in **missed investment opportunities** and **lost market gains**  [fastercapital.com](#).

Risk Exposure

Incorrect SSIs increase **settlement risk**, including both **delivery risk** (failure to deliver securities) and **payment risk** (failure to transfer funds), which can escalate **credit and**

liquidity risks for both buyers and sellers  [LinkedIn+1](#). In cross-border transactions, errors in SSIs can exacerbate these risks due to **time zone differences and differing**

regulatory requirements  [fastercapital.com](#).

Compliance and Regulatory Implications

Settlement instructions must comply with **regulatory standards**. Errors in SSIs can lead to **non-compliance**, potentially resulting in **legal action, fines, or penalties**,

especially in jurisdictions with strict post-trade regulations  [fastercapital.com](#). With the move toward **accelerated settlement cycles** like T+1, the window to correct errors is shrinking, increasing the likelihood of regulatory scrutiny.

Reputational Impact

Repeated errors in settlement instructions can **damage a firm's reputation**, eroding trust with counterparties and clients. This can lead to **loss of business, strained**

relationships, and reduced market confidence  [fastercapital.com](#). Even with

automated SSI systems, insufficient discipline in usage or manual overrides can still result in errors, highlighting the importance of **standardization and pre-authentication of SSIs**

Efficiency and Automation Challenges

Manual SSI exchanges are prone to **transposition errors** and inefficiencies, requiring **call-backs and verification** to ensure accuracy. Lack of standardization in SSI formats complicates automation, increasing the risk of **bottlenecks and operational delays**. Adoption of **ISO 20022 standards** and electronic SSI sharing can mitigate these risks, but user errors remain a significant concern.

Summary

Inaccurate or wrong SSIs can have **wide-ranging consequences**, including:

- **Settlement failures** and trade disruptions
 - **Financial losses** due to buy-ins, sell-outs, or missed opportunities
 - **Increased credit and liquidity risks**
 - **Regulatory non-compliance and potential legal penalties**
 - **Reputational damage** and loss of market trust
 - **Operational inefficiencies** and higher costs due to manual intervention
- Ensuring **accurate, standardized, and timely SSIs** is therefore critical for minimizing risk and maintaining smooth post-trade operations.